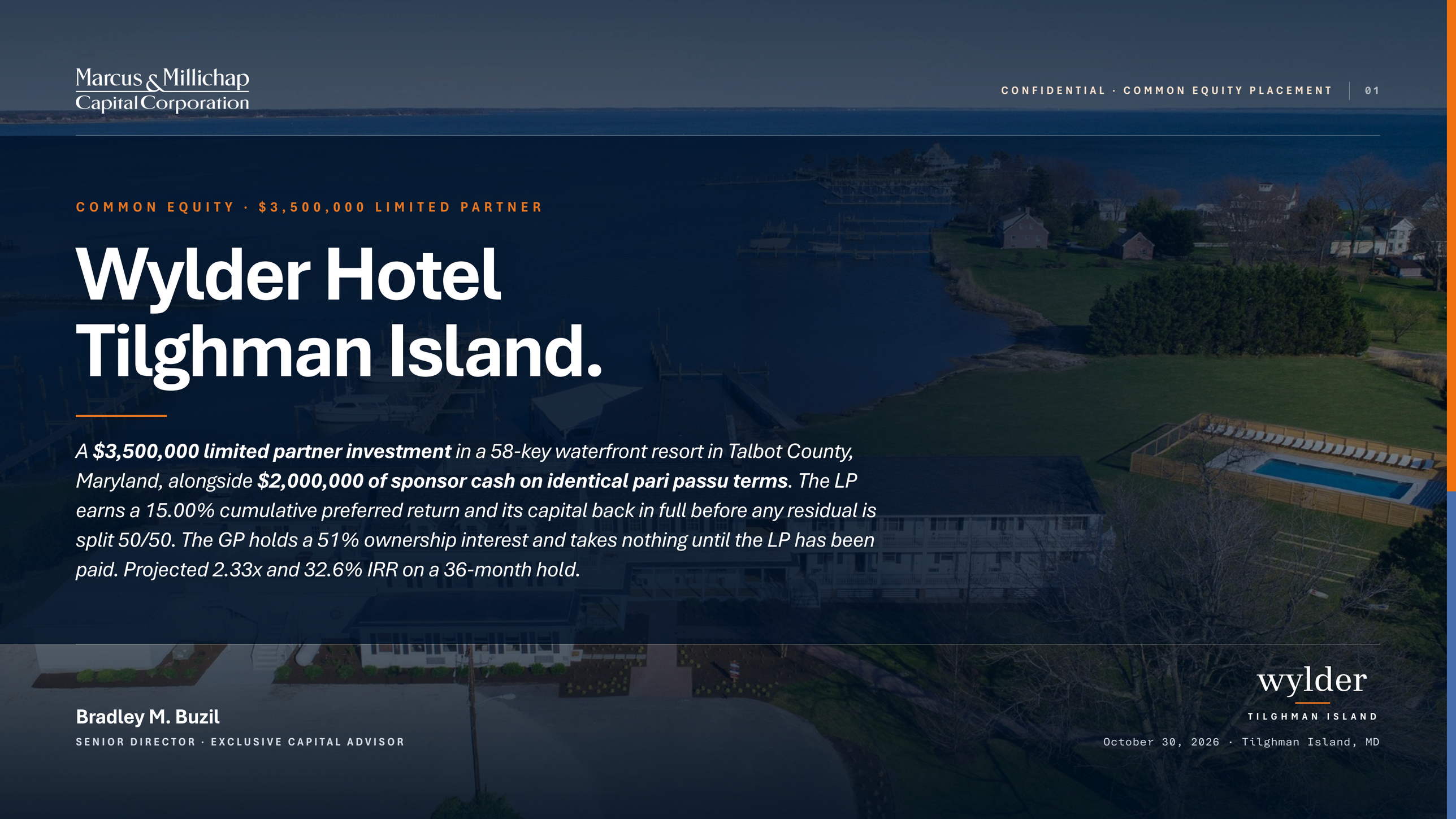


COMMON EQUITY · $3,500,000 LIMITED PARTNER

# Wylder Hotel Tilghman Island.

*A **$3,500,000 limited partner investment** in a 58-key waterfront resort in Talbot County, Maryland, alongside **$2,000,000 of sponsor cash on identical pari passu terms**. The LP earns a 15.00% cumulative preferred return and its capital back in full before any residual is split 50/50. The GP holds a 51% ownership interest and takes nothing until the LP has been paid. Projected 2.33x and 32.6% IRR on a 36-month hold.*

**Bradley M. Buzil**

SENIOR DIRECTOR · EXCLUSIVE CAPITAL ADVISOR

wylder

TILGHMAN ISLAND

October 30, 2026 · Tilghman Island, MD

# Summary of the common equity placement.

Marcus & Millichap Capital Corporation is placing a **$3,500,000 limited partner investment** in Wylder Hotel Tilghman Island, alongside **$2,000,000 of sponsor cash on identical pari passu terms**. The LP earns a 15.00% cumulative preferred return and its capital back in full before any residual is split 50/50. The GP holds a 51% ownership interest and takes no distribution until the LP has been paid.

LP COMMITMENT

**$3.50M**

$60,345 per key · funded at close

PARTNERSHIP CAPITAL

**$5.50M**

LP $3.50M plus $2.00M sponsor cash

PREFERRED RETURN

**15.00%**

Cumulative · LP and GP pari passu

RESIDUAL SPLIT

**50 / 50**

After the preferred return and capital

OWNERSHIP · GP / LP

**51% / 49%**

GP takes nothing until the LP is paid

SENIOR & PREFERRED AHEAD

**$13.90M**

64.97% of as-is value

ADJACENT PARCEL VALUE

**$2.89M**

$4.29M of value on $1.40M of cost

PROJECTED RETURN

**2.33x**

32.6% IRR · base case, 3-year hold



# A 58-key waterfront resort on 8.10 acres, with an adjacent parcel under contract.

Wylder Hotel Tilghman Island sits on Tilghman Island in Talbot County, Maryland, between the Chesapeake Bay and the Choptank River — an 8.10-acre waterfront parcel with 1,100 feet of water frontage, a marina, pool, restaurant and boat bar. Operated under the Wylder Hotels brand, the property is mid-repositioning, with a Small Luxury Hotels affiliation planned for Year 2. The adjacent parcel at 21441 Dogwood Cove — three acres, a four-bedroom residence and 24 boat slips — is under contract and funded in this capitalization; see page 5.

KEYS

**50 → 58**

*57 hotel keys plus the Dogwood Cove residence*

SITE

**8.10 ac**

*Expanding to about 11 acres with Dogwood Cove*

POSITIONING

**Upper Upscale**

*Select-service resort*

LOCATION

**Tilghman, MD**

*Talbot County · Tilghman Island*





# What the asset comprises.



## LOCATION

**SITE**
8.10 acres · three parcels

**WATER FRONTAGE**
1,100 feet on the Choptank River

**ZONING**
Village Mixed · hotel permitted and legally conforming

**DRIVE-TO DEMAND**
Two hours from Washington and Baltimore

**LUXURY BENCHMARK**
12 miles from the Inn at Perry Cabin

**PARKING**
69 surface spaces



## ACCOMMODATIONS

**IN SERVICE TODAY**
50 waterfront rooms

**OUT OF SERVICE**
4 rooms, restored under the capital plan

**ADDED**
3 keys from the rebuilt three-bedroom house

**ON COMPLETION**
**57 keys · 58 with Dogwood Cove**

**MARINA**
23 slips today · 24 with the Dogwood Cove acquisition · 47 on completion

**COMMERCIAL SPACE**
Converting to a wellness studio




## FOOD, BEVERAGE AND EVENTS

**RESTAURANT**
Tickler's Crab Shack · 128 seats, 2,000 SF, seasonal

**BALLROOM**
2,000 SF

**BREAKOUT**
Multiple breakout and restaurant spaces

**OUTDOOR**
Waterfront tent space

**BOAT BAR**
Converting to add usable event space

**TOTAL EVENT SPACE**
3,722 SF today · 5,252 SF on completion



## AMENITIES

**POOL**
Heated saltwater

**WELLNESS**
Panoramic sauna and cold plunge

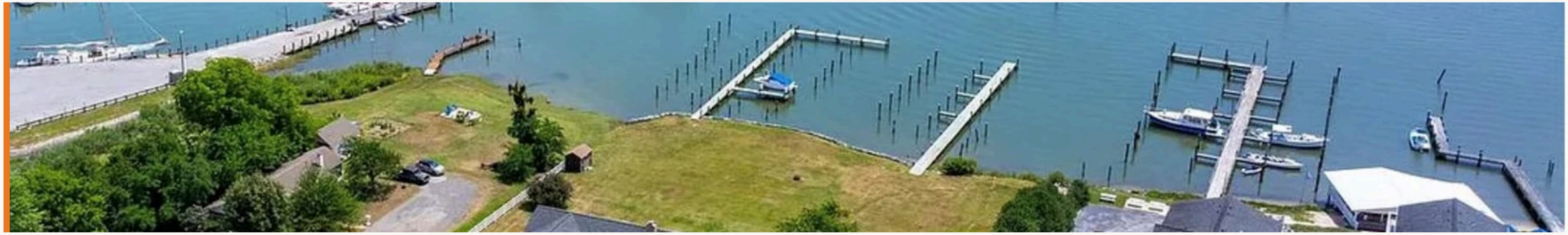
**WATER**
Watersports from the property

**GROUNDS**
Bonfire pits, lawn games, rope swing, hammocks

**SEATING**
Adirondack chairs on the lawn

**AMENITY FEE**
$40 per room night · **95.9% capture in 2025**

# Adjacent acquisition — 21441 Dogwood Cove.



## TRANSACTION

| | |
|---|---|
| Purchase price | $1,100,000 |
| Status | Under contract |
| Closing date | Nov 18, 2026 |
| Interest conveyed | Fee simple |
| Deposit | $15,000 |
| Renovation to bring online | $300,000 |
| **Total acquisition cost** | **$1,400,000** |

Acquired by **21551 Tilghman Investors LLC**, the entity that owns the hotel, so the parcel comes into the partnership rather than a separate venture. The parcel closes on November 18, 2026, shortly after the recapitalization.

The parcel sits at 21441 Dogwood Cove, Tilghman, Talbot County, Maryland.

## WHAT IT ADDS

| | |
|---|---|
| Boat slips | 24 |
| Land | ±3 acres |
| Residence | 4 bedrooms |
| Keys | 1 · whole-home suite |
| Site on completion | ±11.1 acres |
| **Marina slips on completion** | **47** |

The residence becomes a **whole-home suite**, a product the hotel cannot offer today, and is counted as the 58th key. Its 24 slips take the marina from 23 slips today to 47 on completion.

It is underwritten conservatively — a **$1,500 nightly rate at 35% occupancy**, or $191,625 of annual revenue from stabilization.

## WHY IT MATTERS

The parcel was **part of the hotel until it was separated and sold to a third party during a bankruptcy roughly ten years ago**. Acquiring it reassembles the original assemblage and takes the last private parcel between the hotel and its waterfront off the market.

The $1,100,000 purchase is **funded from the capitalization at closing**, with no acquisition debt against the parcel. The $300,000 renovation is funded from the same proceeds.

The estimated values in this package — $21,400,000 as is, $26,000,000 upon completion and $29,500,000 upon stabilization — **are for the hotel and do not include this parcel**. Every basis, coverage and return figure is measured against them, so what the acquisition is worth is upside those numbers do not carry.

Capitalize the EBITDA the parcel itself produces — the marina and room revenue — at 7.0% and it is worth **roughly $4.3 million** against a $1.4 million all-in cost.

| ALL-IN COST | EBITDA AT STABILIZATION | AT A 7.0% CAP RATE | VALUE ABOVE COST |
|---|---|---|---|
| **$1,400,000** | **~$300,000** | **~$4.3M** | **~$2.9M** |
| Purchase plus renovation | Marina and room revenue from the parcel | Implied value of that EBITDA | In no value estimate in this package |

# Ownership and operating structure.

The property is owned by **21551 Tilghman Investors LLC**, led by principal **John Flannigan**, and operated under the **Wylder Hotels** brand through affiliate Wylder Eastern Shore Management, LLC — controlling day-to-day operations and the renovation, with a Small Luxury Hotels affiliation planned for Year 2.

| | |
|---|---|
| OWNERSHIP<br>**21551 Tilghman Investors LLC** | PRINCIPAL<br>**John Flannigan** |
| OPERATOR / BRAND<br>**Wylder Hotels** | MANAGER<br>**Wylder Eastern Shore Mgmt.** |

## STRUCTURE AND ALIGNMENT

01 **Owner-operated, no third-party manager** — Day-to-day operations are run by an affiliate of ownership. There is no third-party management agreement to terminate or subordinate, no comfort letter to negotiate and no split incentive between owner and operator.

02 **Continuous ownership since 2017** — The sponsor has owned and operated the hotel under the Wylder brand through the pandemic cycle and the current repositioning, investing a further $642,693 of capital between 2021 and 2025.

03 **Single-asset ownership entity** — 21551 Tilghman Investors LLC holds this property and, on closing, the adjacent Dogwood Cove parcel — and no other operating assets — keeping the collateral and its cash flow ring-fenced.

04 **Two-property brand platform** — Revenue management, distribution, design and procurement are shared across Wylder Hotels in Maryland and New York, giving a 58-key asset reach it could not support standing alone.

Operating statements are produced monthly at the property level and are the basis for the historical figures in this package. Financial reporting, revenue management and the renovation are handled in-house.



# Operator background and brand portfolio.

## wylder HOTELS

A boutique hotel brand that acquires, renovates and operates resort properties in drive-to leisure markets. Two resorts on the East Coast.

**Wylder Tilghman Island**
*Chesapeake Bay, MD · this asset*
50→58 keys
Est. 2017

**Wylder Windham**
*Catskills, NY · ~$27M invested*
110 keys
Est. 2022

### THE PROOF CASE

**Wylder Windham** opened in 2022 after roughly $27,000,000 of investment and was named the number one resort in New York State the following year. It is a **Small Luxury Hotels member, the first in the Catskills**, and carries the American Express Fine Hotels & Resorts designation. The affiliation planned at Tilghman Island follows the same path, under the same ownership and the same management company.

### RECOGNITION

**#8 in the U.S.** — Travel + Leisure World's Best, 2023, and a MICHELIN Guide selection (Wylder Windham) · Top 11 in NY & the Mid-Atlantic — Condé Nast Traveler, 2018 (Tilghman Island).



## John Flannigan

FOUNDER & CEO · WYLDER HOTELS (JEF MANAGEMENT LLC)

**3**
DECADES

| | |
|---|---|
| WYLDER · '16–NOW | **Founder & CEO** — acquired, renovated and opened the Wylder portfolio; leads capital, acquisitions, design and operations. |
| PROPER · '14–'16 | **Chief Operating Officer**, Proper Hospitality — opened Avalon Beverly Hills and Avalon Palm Springs. |
| JRK · '09–'14 | **President**, JRK Hotels — seven-hotel platform; acquired the 472-key Sheraton Nashville Downtown ($47.5M), Oceana Santa Monica & Santa Barbara, Villa Florence SF. |
| ACE NY · '08–'09 | **Opening General Manager** — opened the Ace Hotel New York. |
| EARLIER | Opening GM of The Roger and Hotel Giraffe (NYC); progressive roles at Wyndham Hotels. |

B.S., Hotel, Restaurant & Institutional Management — The Pennsylvania State University (1996). Entrepreneur of the Year, Penn State Hotel & Restaurant Society, 2023.

# Business plan and capital improvement program.

CAPITAL IMPROVEMENT PROGRAM — $3.3M · $56,948 / KEY · SEP 2026 – APR 2027

## 01 Guest room renovation — $1.43M

Full renovation of all 57 guest rooms at $25,000 per key. **Four out-of-service keys are returned and three added in the back house**, taking the hotel from 50 to 57 — 12.3% more sellable inventory that has never produced revenue.

## 02 Additional revenue sources — $0.85M

The **marina — 23 slips today, 47 with the Dogwood Cove acquisition**, rebuilt for $250,000 — carries almost no operating overhead and contributes roughly **$341,000 a year** of departmental profit at stabilization, on revenue the property has never captured. A reconfigured boat bar and rebuilt three-bedroom house add further sources, and the adjacent Dogwood Cove residence adds a whole-home suite.

## 03 Brand affiliation — SLH · Yr 2

Operation under the Wylder Hotels brand, with a planned Small Luxury Hotels affiliation in Year 2 distributed through Hilton channels.

Exterior and interior improvements, contingency and professional fees complete the $3,003,000 hotel program. With $300,000 for the Dogwood Cove residence the total capital program is $3,303,000, or $56,948 per key on 58 keys. **The program is funded at close from the capitalization**, together with $300,000 for the Dogwood Cove residence; sources and uses are on page 19.

REVPAR INDEX TO COMP SET

**41.4%** → 79% at stabilization

*$87 today vs. $210 comp set (STR, Dec 2025)*

WHAT DRIVES THE PLAN

| | |
|---|---|
| Rate recovery on 57 renovated rooms | $265 → $415 |
| Seven keys returned to inventory | +12.3% sellable |
| Marina to 47 slips | $341,332 |
| Dogwood Cove whole-home suite | $191,625 |
| Small Luxury Hotels affiliation | Year 2 |

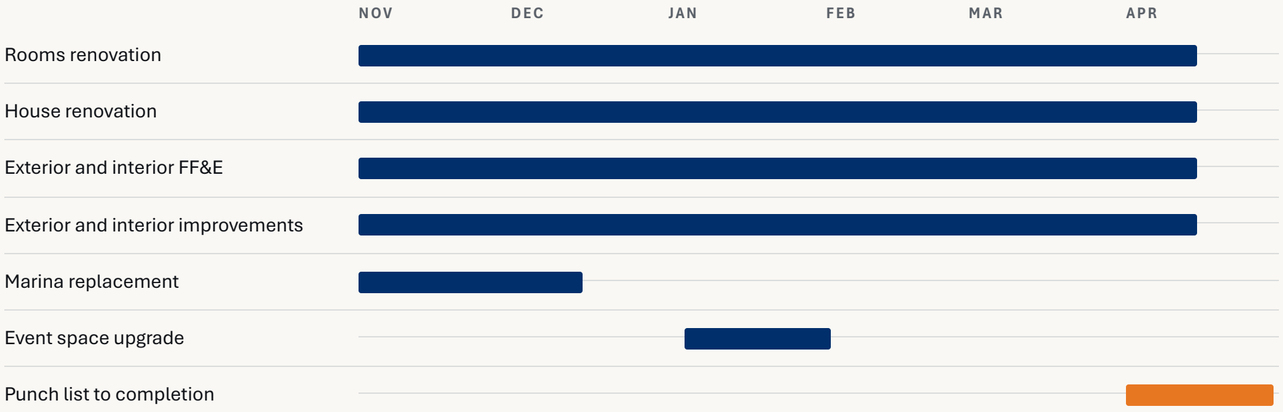
The plan targets a RevPAR index of approximately 79% of this competitive set by stabilization in 2028, **assuming no growth in the underlying market.**

NOI · 2026→2030
**2.7x**

REVPAR · 2025→2030
**$87→$196**

# The renovation is designed, priced and scheduled.

## RENOVATION SCHEDULE · NOVEMBER 2026 TO APRIL 2027




## START AND COMPLETION DATES

| | |
|---|---|
| Rooms renovation | Nov 1, 2026 → Apr 15, 2027 |
| House renovation | Nov 1, 2026 → Apr 15, 2027 |
| Exterior and interior FF&E | Nov 1, 2026 → Apr 15, 2027 |
| Exterior and interior improvements | Nov 1, 2026 → Apr 15, 2027 |
| Marina replacement | Nov 1, 2026 → Dec 15, 2026 |
| Event space upgrade | Jan 4, 2027 → Feb 2, 2027 |
| Punch list to completion | Apr 1, 2027 → Apr 30, 2027 |

Work begins **November 1, 2026** and completes **April 30, 2027**. The program runs entirely within the low season and completes before the 2027 summer peak — the four months to September carry 72% market occupancy against 40% from November to March.



## THE MODEL ROOM IS BUILT

The guest-room specification is complete and can be inspected on site. Finishes, casegoods, lighting, soft goods and bath are installed. The **$25,000 per key** in the budget is priced against a room that exists rather than a drawing, which takes design and specification risk out of the remaining keys and gives the schedule a known unit cost to roll out.

# Small Luxury Hotels affiliation and distribution.

## WHY THE AFFILIATION MATTERS

### HILTON DISTRIBUTION

SLH member hotels are bookable directly through **Hilton.com, the Hilton app and Hilton Honors**. The affiliation places the property inside Hilton's reservation and loyalty system rather than leaving it dependent on direct booking and third-party channels, which is the mechanism behind the projected occupancy and rate gain.

### AN ESTABLISHED RELATIONSHIP

The sponsor already operates within SLH. **Wylder Windham, the sister hotel in the Catskills, is an SLH member** and was the first in that market. The application here is an extension of a working relationship rather than a first approach.

### AMERICAN EXPRESS FINE HOTELS & RESORTS

Wylder Windham carries the **American Express Fine Hotels & Resorts designation**, reached through the SLH platform. The same designation is the plan at Tilghman Island, adding a high-rate corporate and affluent leisure channel on completion.

Affiliation is targeted on completion of the renovation and remains subject to application, inspection, board approval and an executed brand affiliate agreement.

## MEMBERSHIP ECONOMICS

| | |
|---|---|
| Initial term | 4 years |
| Implementation fee · one time | $4,500 |
| Annual fee · year 1 | $13,220 |
| Annual fee · year 2 | $20,902 |
| Annual fee · year 3 | $33,050 |
| Annual fee · year 4 | $33,050 |
| **Four-year total** | **$100,222** |
| Full annual fee vs stabilized revenue | 0.49% |

## COMMISSION BY CHANNEL

| | |
|---|---|
| SLH.com | 10% |
| Voice reservations | 10% |
| GDS | $18 / res |
| Amex Fine Hotels & Resorts | 2% of room rev |

Fee schedule is the 2025/2026 rate quoted on 50 rooms; the annual fee steps to roughly $35,136 at 57 rooms. Also payable: 15 barter room nights a year, a £153 monthly database fee, a $2,249 inspection fee every 12 to 18 months, and $665 directory and conference contributions.

# Estimated values and underwritten projections.

ESTIMATED AS-IS VALUE

**$21,400,000**

*$368,966 per key*

ESTIMATED UPON COMPLETION

**$26,000,000**

*$448,276 per key*

ESTIMATED UPON STABILIZATION

**$29,500,000**

*$508,621 per key*

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. They are for the hotel and **do not include the adjacent Dogwood Cove parcel**, whose value is set out on page 5. Per-key figures on 58 keys — the 57 hotel keys post-renovation plus the Dogwood Cove residence — which understates value per key.

| METRIC | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|
| Occupancy | 33% | 38% | **40%** | 42% | 43% |
| Average daily rate | $288 | $395 | **$415** | $435 | $455 |
| RevPAR | $96 | $150 | **$166** | $183 | $196 |
| Total revenue | $4.38M | $6.38M | **$7.08M** | $7.60M | $8.04M |
| **Net operating income** | $1.13M | $2.32M | **$2.67M** | $2.86M | $3.06M |
| NOI margin | 25.8% | 36.3% | **37.7%** | 37.6% | 38.1% |

STABILIZED NOI · 2028

**$2,670,611**

STABILIZED NOI MARGIN

**37.7%**

REVPAR · 2028

**$166**

2026 is the renovation year, with the hotel open on a limited basis; 2027 is the ramp; 2028 through 2030 reflect stabilized operation on 58 keys. Projections per the financial model. Monthly 2026 detail is available in the model.

# Pro forma cash flow and underwriting assumptions.

| PRO FORMA CASH FLOW | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|
| Available room nights | 18,250 | 20,805 | 20,862 | 20,805 | 20,805 |
| Occupied room nights | 6,094 | 7,906 | 8,345 | 8,738 | 8,946 |
| Occupancy | 33.0% | 38.0% | 40.0% | 42.0% | 43.0% |
| Average daily rate | $288 | $395 | $415 | $435 | $455 |
| RevPAR | $96.00 | $150.00 | $166.00 | $183.00 | $196.00 |
| Rooms revenue | $1,755,504 | $3,122,830 | $3,463,092 | $3,801,074 | $4,070,498 |
| Other revenue | $2,620,434 | $3,259,037 | $3,619,032 | $3,795,709 | $3,968,084 |
| **Total revenue** | $4,375,938 | $6,381,867 | **$7,082,124** | $7,596,783 | $8,038,582 |
| Operating expenses | ($3,246,624) | ($4,066,848) | ($4,411,513) | ($4,738,313) | ($4,977,129) |
| **Net operating income** | $1,129,314 | $2,315,019 | **$2,670,611** | $2,858,470 | $3,061,453 |
| NOI margin | 25.8% | 36.3% | 37.7% | 37.6% | 38.1% |

| UNDERWRITING ASSUMPTIONS | |
|---|---|
| Keys at stabilization | 58 (50 hotel keys today) |
| Occupancy · 2026 to 2030 | 33% → 43% |
| Average daily rate | $288 → $455 |
| RevPAR | $96 → $196 |
| Underlying market growth | None assumed |
| Hotel capital program | $3,003,000 |
| Dogwood Cove renovation | $300,000 |
| Capital program per key | $56,948 |
| Capital program funding | From the capitalization |
| Operating expense ratio | 74.2% → 61.9% |
| Replacement reserve | 0% → 3.8% of revenue |
| Dogwood Cove house | $1,500 ADR · 35% occupancy |
| Brand | Wylder Hotels |
| Affiliation | SLH · Year 2 |

Other revenue comprises food and beverage, resort fee, marina slips, the Dogwood Cove house and miscellaneous income. Operating expenses are total departmental, undistributed and fixed costs, including the replacement reserve. Net operating income is stated before the asset management fee. Per the financial model.

The plan assumes no growth in competitive-set rate or occupancy; the entire RevPAR gain is attributed to the renovation, the added keys, the expanded marina and brand affiliation. Competitive-set performance is held flat at its 2025 level throughout.

# Stabilized cash flow carried forward, 2030 through 2041.

Dollars in thousands. **2030 is the last year of the pro forma on the preceding pages**; every year after it continues the same line on the same basis — occupancy held at 43.0%, average rate growing 3.0% a year, no assumed growth in the underlying market and the operating margin held at 38.1%. Net operating income is already stated after a 4.0% management fee and a 3.8% replacement reserve; the memo line steps that reserve to 4.0% and coverage is shown on both. Debt service is the senior loan held flat and interest-only. This page supports the exit: 2030 is the first full year after a sale at the end of year three. Columns may not foot due to rounding.

| CALENDAR YEAR | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 | 2036 | 2037 | 2038 | 2039 | 2040 | 2041 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **OPERATING STATISTICS** | | | | | | | | | | | | |
| Occupancy | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% | 43.0% |
| Average daily rate | $455 | $469 | $483 | $497 | $512 | $527 | $543 | $560 | $576 | $594 | $611 | $630 |
| RevPAR | $196 | $202 | $208 | $214 | $220 | $227 | $234 | $241 | $248 | $255 | $263 | $271 |
| **REVENUE** | | | | | | | | | | | | |
| Rooms | 4,070 | 4,193 | 4,318 | 4,448 | 4,581 | 4,719 | 4,860 | 5,006 | 5,156 | 5,311 | 5,470 | 5,635 |
| Other operated departments | 3,968 | 4,087 | 4,210 | 4,336 | 4,466 | 4,600 | 4,738 | 4,880 | 5,027 | 5,177 | 5,333 | 5,493 |
| **Total revenue** | **8,039** | **8,280** | **8,528** | **8,784** | **9,047** | **9,319** | **9,598** | **9,886** | **10,183** | **10,489** | **10,803** | **11,127** |
| **OPERATING RESULT** | | | | | | | | | | | | |
| Operating expenses | (4,977) | (5,126) | (5,280) | (5,439) | (5,602) | (5,770) | (5,943) | (6,121) | (6,305) | (6,494) | (6,689) | (6,890) |
| **Net operating income** | **3,061** | **3,153** | **3,248** | **3,345** | **3,446** | **3,549** | **3,656** | **3,765** | **3,878** | **3,995** | **4,114** | **4,238** |
| NOI margin | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% | 38.1% |
| Memo · reserve stepped to 4.0% | (16) | (16) | (17) | (17) | (18) | (18) | (19) | (19) | (20) | (20) | (21) | (22) |
| Net cash flow at a 4.0% reserve | 3,046 | 3,137 | 3,231 | 3,328 | 3,428 | 3,531 | 3,637 | 3,746 | 3,858 | 3,974 | 4,093 | 4,216 |
| **SENIOR DEBT SERVICE · INTEREST-ONLY** | | | | | | | | | | | | |
| Debt service | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) | (1,200) |
| **Coverage on net operating income** | **2.55x** | **2.63x** | **2.71x** | **2.79x** | **2.87x** | **2.96x** | **3.05x** | **3.14x** | **3.23x** | **3.33x** | **3.43x** | **3.53x** |
| Coverage at a 4.0% reserve | 2.54x | 2.61x | 2.69x | 2.77x | 2.86x | 2.94x | 3.03x | 3.12x | 3.21x | 3.31x | 3.41x | 3.51x |
| Debt yield | 30.6% | 31.5% | 32.5% | 33.5% | 34.5% | 35.5% | 36.6% | 37.6% | 38.8% | 40.0% | 41.1% | 42.4% |

**2.55x**
Minimum coverage over the period, in 2030

**2.54x**
Minimum coverage with the reserve stepped to 4.0%

**$27.2M**
Aggregate cash flow after debt service, 2031 to 2041

**1.38x**
Net operating income in 2041 against 2030

# Departmental revenue and margins against industry benchmarks.

## REVENUE BY DEPARTMENT AT STABILIZATION

| DEPARTMENT | $000S | % OF TOTAL | RESORT SEGMENT |
|---|---|---|---|
| Rooms | 3,463 | 48.9% | 57.9% |
| Food and beverage | 2,519 | 35.6% | 29.3% |
| Resort fee, marina and miscellaneous | 908 | 12.8% | 12.8% |
| Dogwood Cove house · 1 key | 192 | 2.7% | – |
| **Total revenue** | **7,082** | **100.0%** | **100.0%** |

## FOOD AND BEVERAGE AGAINST OUTLET COMPARABLES

| METRIC | SUBJECT | COMP AVG | COMP RANGE |
|---|---|---|---|
| Restaurant revenue per seat | $14,775 | $18,540 | $11.8K–$33.8K |
| Event space revenue per SF | $313 | $271 | $201–$421 |
| Event revenue per occupied room | $184 | $95 | $36–$206 |

## REVENUE NOT PRESENT IN ANY HISTORICAL PERIOD

| SOURCE | REVENUE | DEPARTMENTAL PROFIT |
|---|---|---|
| Expanded marina slips | $359,297 | **$341,332** |
| Seven added keys · 50 → 57 | $425,292 | **$318,969** |
| Dogwood Cove house · 1 key | $191,625 | **$191,625** |
| **Combined at stabilization** | **$976,214** | **$851,926** |

The **marina is rebuilt and expanded for $250,000** inside the capital plan and carries almost no operating overhead; the model loads it with a 5% direct cost, leaving **$341,332** of departmental profit at stabilization. Four out-of-service keys returned and three added in the back house lift sellable inventory 12.3%. The **Dogwood Cove house** is underwritten at a $1,500 nightly rate and 35% occupancy as a whole-home suite. Food and beverage is a larger share of revenue than the resort segment because of the crab shack, bar and event space against only 58 keys, but restaurant revenue per seat is 20% below the comparable average and event revenue per occupied room is close to the $180 the property itself achieved in 2025.

## MARGINS AGAINST INDUSTRY BENCHMARKS

| RATIO TO REVENUE | SUBJECT | RESORT | INDEPENDENT |
|---|---|---|---|
| **Departmental profit** | **65.7%** | **59.8%** | **58.1%** |
| Undistributed expenses | 23.7% | 22.6% | 25.1% |
| **Gross operating profit** | **42.0%** | **37.2%** | **33.0%** |
| Administrative and general | 6.2% | 7.2% | 9.1% |
| Sales and marketing | 4.3% | 6.2% | 6.1% |
| Utilities | 2.8% | 2.9% | 3.1% |
| Property operation and maintenance | 2.4% | 4.1% | 4.8% |
| Management fee | 3.8% | 3.7% | 2.7% |
| Replacement reserve | 2.8% | 2.1% | 2.1% |

## DEPARTMENTAL COST RATIOS

| RATIO TO DEPARTMENTAL REVENUE | SUBJECT | RESORT | INDEPENDENT |
|---|---|---|---|
| Rooms expense | 25.0% | 25.1% | 31.7% |
| Food and beverage expense | 60.0% | 72.0% | 77.4% |

Figures are the 2028 stabilized year of the pro forma; benchmarks are the resort and independent segments of the 2024 United States hotel profitability review. Gross operating profit of 42.0% is 4.8 points above the resort segment, and the replacement reserve at 2.8% is above the 2.1% segment norm and steps to 3.8% by 2029. Three lines run below segment and are flagged rather than smoothed: administrative and general at 6.2%, sales and marketing at 4.3% and property operation and maintenance at 2.4%. Food and beverage cost of 60.0% against a 72.0% segment figure reflects a limited-menu seasonal outlet and event catering rather than a three-meal restaurant. Credit card commissions of 2.9% are carried in undistributed expenses and have no separate segment comparator.

# Historical operations and competitive benchmarking.

## ACTUAL OPERATIONS

| METRIC | 2023 | 2024 | 2025 |
|---|---|---|---|
| Occupancy | 27% | 32% | 33% |
| Average daily rate | $312 | $291 | $265 |
| RevPAR | $83 | $92 | $87 |
| Total revenue | $3.48M | $3.81M | $3.79M |
| **Net operating income** | $0.49M | $0.92M | $0.66M |
| NOI margin | 14.0% | 24.0% | 17.6% |

Per operating statements. 2025 is preliminary. 2026 is a transition year and is not presented.

## COMPETITIVE BENCHMARKING · YTD DEC 2025

| METRIC | OCC | ADR | REVPAR |
|---|---|---|---|
| **Wylder Tilghman Island** | 32.9% | $264.79 | $87.00 |
| Competitive set | 58.7% | $357.10 | $209.75 |
| Submarket | 53.1% | $142.06 | $75.38 |
| Maryland market | 53.3% | $163.10 | $86.98 |
| **Index to comp set** | 55.9 | 74.1 | 41.5 |

Source: STR STAR report, December 2025 (year to date). Competitive set comprises four properties and 364 rooms. The 41.5 RevPAR index is the gap the business plan addresses.

# The competitive market, supply and demand.

## COMPETITIVE MARKET · 2025 PERFORMANCE

| PROPERTY · LOCATION | KEYS | OCCUPANCY | ADR | REVPAR |
|---|---|---|---|---|
| Inn at Perry Cabin · St Michaels | 78 | 55–60% | $745–775 | $435–465 |
| Chesapeake Bay Beach Club · Stevensville | 77 | 70–75% | $260–270 | $175–205 |
| Tidewater Inn · Easton | 89 | 40–45% | $235–245 | $90–120 |
| Hilton Garden Inn · Kent Island Marina | 91 | 65–70% | $210–220 | $135–165 |
| Composite property | 19 | 55–60% | $340–360 | $185–215 |
| **Market total and average** | **404** | **56.9%** | **$349.79** | **$199.18** |
| Wylder Tilghman Island | 50 | 32.9% | $264.79 | $87.00 |

## PENETRATION AGAINST THE MARKET

| INDEX | 2024 | 2025 | TARGET |
|---|---|---|---|
| Occupancy index | 59% | 58% | – |
| Rate index | 82% | 76% | – |
| **RevPAR index** | 48% | 44% | 83% |

The index fell between 2024 and 2025 because the property was discounting rate while carrying keys out of service — average rate dropped from $291 to $265 against a market holding $350. Rate, not occupancy, is the variance. Recovering it is what the capital program and the affiliation are for.

The market set totals 404 rooms including the subject and a composite of smaller properties. The subject holds 76% of market rate but only 58% of market occupancy, producing a RevPAR index of 44%. The business plan targets 83% of market RevPAR at stabilization — a level still 17% below the market average and below both luxury properties in the set. The STR benchmarking on the preceding page is drawn from a differently constituted set of four properties and 364 rooms; the two are not interchangeable.

## MARKET SUPPLY AND DEMAND

| YEAR | SUPPLY | DEMAND | OCC | ADR | REVPAR |
|---|---|---|---|---|---|
| 2019 | 396 | 76,475 | 52.9% | $266 | $141 |
| 2021 | 396 | 82,180 | 56.8% | $316 | $179 |
| 2022 | 407 | 87,883 | 59.1% | $317 | $187 |
| 2023 | 404 | 77,581 | 52.6% | $353 | $186 |
| 2024 | 404 | 79,802 | 54.1% | $354 | $192 |
| **2025** | **404** | **84,017** | **56.9%** | **$350** | **$199** |
| TTM March 2026 | 404 | 84,809 | 57.5% | $350 | $201 |
| CAGR 2019–2025 | 0.3% | 1.6% | 1.2% | 4.7% | 6.0% |

## WHAT THE MARKET TREND SUPPORTS

Market supply has been unchanged at approximately 404 rooms since 2022, while demand has grown in each of the last two years and reached a ten-year high of 84,017 room nights in 2025. Trailing twelve-month demand through March 2026 is running 5.6% ahead of the prior period. Market RevPAR has compounded at 6.0% a year since 2019 and stands at a record $199. The projections adopt none of this growth: rate and occupancy for the competitive market are held flat at 2025 levels throughout, so the entire RevPAR gain in the plan is attributed to the renovation, the seven added keys, the expanded marina, the adjacent parcel and the brand affiliation.

## MARKET SEASONALITY · MONTHLY OCCUPANCY 2025

| PERIOD | OCC | ADR | REVPAR |
|---|---|---|---|
| **Peak · June to September** | **72.0%** | **$396** | **$285** |
| Shoulder · April, May, October | 64.6% | $355 | $231 |
| Trough · November to March | 40.0% | $267 | $109 |

Demand is concentrated: four peak months run at 72% occupancy against 40% across the five winter months. Projections are annual averages; interim coverage follows the same pattern. Figures are monthly averages.

Demand figures are annual room nights for the market set. Supply is average rooms available per day.

# Drive-to demand, visitation and new supply.

## DRIVE-TO LEISURE DEMAND

| METROPOLITAN AREA | MILES | POPULATION |
|---|---|---|
| Washington, DC | 40 | 6,436,489 |
| Baltimore, MD | 43 | 2,859,024 |
| Richmond, VA | 100 | 1,370,165 |
| Philadelphia, PA | 108 | 6,330,422 |
| New York, NY | 186 | 19,940,274 |
| **Within 3.5 hours** | – | **36,936,374** |

2025 VISITORS
**666,400**

VISITOR SPENDING
**$317M**

Talbot County visitation supported 1,944 jobs and $132M of local, state and federal tax receipts in 2025. Source: Talbot County Economic Development and Tourism.

## NEW SUPPLY WITHIN THE SUBMARKET

| PROPERTY · STATUS | KEYS | MILES |
|---|---|---|
| Wilson's Cove · under construction | 32 | 50.7 |
| Microtel Inn & Suites, Easton · planning | 81 | 25.3 |
| Home2 Suites, Salisbury · opened Feb 2026 | 81 | 72.6 |
| Home2 Suites, Middletown · proposed | 89 | 76.5 |

No new supply is under construction within 25 miles. The nearest proposed project is an **81-key economy product 25 miles away, not before Q3 2028**, and none of the pipeline competes with upper-upscale waterfront resort product.

Competitive set supply has been unchanged at 364 rooms across four properties since 2023. Distances measured from the subject.

# A $17,404,044 capitalization in three tranches.




**TOTAL CAPITALIZATION** **$17,404,044**

## CAPITAL MEASURES

| | |
|---|---|
| Senior loan · 1st trust deed | $10,000,000 |
| Preferred equity | $3,904,044 |
| Common equity · LP | $3,500,000 |
| **Total capitalization** | **$17,404,044** |
| GP co-investment · sponsor cash | $2,000,000 |

John Flannigan, invested outside loan proceeds and remaining in the deal

| | |
|---|---|
| Senior LTV · as-is | 46.73% |
| Senior LTV · as-stabilized | 33.90% |
| Senior loan to cost | 57.46% |
| Debt and preferred to as-is value | 64.97% |
| **Total capitalization per key · 58** | **$300,070** |

## YOUR TERMS

| | |
|---|---|
| LP commitment | $3,500,000 |
| GP co-investment | $2,000,000 |

Sponsor cash already invested, pari passu with the LP on the same terms

| | |
|---|---|
| **Partnership capital** | **$5,500,000** |
| Preferred return | 15.00% cumulative |
| Residual split | 50 / 50 LP and GP |
| **Ownership interest** | **GP 51% · LP 49%** |

The LP and the GP fund a single partnership tranche on identical pari passu terms. The GP holds a 51% ownership interest and has contributed $2,000,000 of its own cash, but takes no distribution until the LP has received its 15% preferred return and its capital back in full.

# Sources and uses of funds at closing.

## SOURCES

| | |
|---|---|
| Senior loan · 1st trust deed | $10,000,000 |
| 57.46% of total · $172,414 per key | |
| Preferred equity | $3,904,044 |
| 22.43% of total · $67,311 per key | |
| Common equity · LP | $3,500,000 |
| 20.11% of total · $60,345 per key | |
| **Total sources** | **$17,404,044** |

## CLOSING, LEGAL AND OTHER DETAIL

| | |
|---|---|
| Legal — borrower | $65,000 |
| Other closing costs | $40,000 |
| Legal — lender | $15,000 |
| Processing and third-party fees | $10,100 |
| **Total closing, legal and other** | **$130,100** |

Maryland mortgage recording tax and stub interest on the existing loan are budgeted at zero and should be confirmed at closing.

## USES

| | |
|---|---|
| Existing loan payoff | $10,714,782 |
| PIP / renovation | $3,003,000 |
| Interest and carry reserve | $1,200,000 |
| Land and house acquisition · 21441 Dogwood Cove | $1,100,000 |
| Working capital | $500,000 |
| Dogwood Cove house renovation | $300,000 |
| Closing, legal and other | $130,100 |
| Capitalization costs and fees | $456,162 |
| **Total uses** | **$17,404,044** |
| Sources less uses | $0 |

## NET FUNDING · PARTNERSHIP

| | |
|---|---|
| LP commitment | $3,500,000 |
| GP co-investment · sponsor cash | $2,000,000 |
| **Total partnership capital** | **$5,500,000** |
| LP share of partnership capital | 63.64% |

# Terms of the partnership.

LP COMMITMENT

## $3.50M

*$60,345 per key*

| | |
|---|---|
| LP commitment | $3,500,000 |
| GP co-investment | $2,000,000 |
| Partnership capital | $5,500,000 |
| LP share of capital | 63.64% |

PREFERRED RETURN

## 15.00%

*Cumulative · LP and GP pari passu*

| | |
|---|---|
| Compounding | Annual |
| Cumulative over 3 years | 52.09% |
| LP preferred at the base case | $1,823,062 |
| Priority | Ahead of all capital |

RESIDUAL SPLIT

## 50 / 50

*After the preferred return and capital*

| | |
|---|---|
| GP ownership interest | 51% |
| LP ownership interest | 49% |
| GP share of capital | 36.36% |
| GP share of base-case cash | 41.9% |

### ALIGNMENT

The GP has $2,000,000 of its own cash in the deal on identical pari passu terms — 36.36% of partnership capital. It holds a 51% ownership interest but receives 41.9% of partnership cash at the base case, because the economics follow the waterfall rather than the ownership split.

### ORDER OF DISTRIBUTIONS

Partnership cash is distributed in three tiers: the 15.00% cumulative preferred return to the LP and GP pari passu on contributed capital, then return of capital in full, then a 50/50 split of what remains. The tiers are set out on page 21.

### SUBORDINATION

The GP takes no distribution of any kind until the LP has received its 15.00% preferred return and its $3,500,000 of capital back in full. There is no GP fee, catch-up or clawback ahead of those two tiers.

# How sale proceeds reach the partnership.

## FROM SALE PRICE TO PARTNERSHIP CASH

| | |
|---|---|
| Gross exit value | $30,000,000 |
| Less cost of sale · 4.0% | ($1,200,000) |
| **Net sale proceeds** | **$28,800,000** |
| Less senior loan principal | ($10,000,000) |
| Less senior and preferred capital costs and participations | ($4,751,666) |
| **Residual to the partnership** | **$14,048,334** |

## RESIDUAL AT OTHER EXIT VALUES

| GROSS EXIT VALUE | NET PROCEEDS | RESIDUAL TO THE PARTNERSHIP |
|---|---|---|
| $21M | $20,160,000 | $6,704,334 |
| $24M | $23,040,000 | $9,152,334 |
| $27M | $25,920,000 | $11,600,334 |
| **$30M** | **$28,800,000** | **$14,048,334** |
| $33M | $31,680,000 | $16,496,334 |
| $36M | $34,560,000 | $18,944,334 |

## DISTRIBUTION TIERS AT THE BASE CASE

| TIER | TOTAL | LP | GP |
|---|---|---|---|
| 1 · 15.00% cumulative preferred return | $2,864,812 | $1,823,062 | $1,041,750 |
| 2 · Return of capital | $5,500,000 | $3,500,000 | $2,000,000 |
| 3 · 50 / 50 residual split | $5,683,522 | $2,841,761 | $2,841,761 |
| **Total distributed** | **$14,048,334** | **$8,164,823** | **$5,883,511** |
| Share of partnership cash | 100.0% | 58.1% | 41.9% |
| Share of contributed capital | 100.0% | 63.6% | 36.4% |
| **Equity multiple** | – | 2.33x | 2.94x |

**LP PREFERRED RETURN**
**15.00%**
*Cumulative, paid first*

**LP CASH AT BASE CASE**
**$8,164,823**
*2.33x on capital*

**GP OWNERSHIP VS CASH**
**51% / 42%**
*Owns more, takes less*

The deduction above is the senior and preferred capital ahead of the partnership together with its cost and participations, shown as a single amount. Partnership cash is what remains after it. At the $30M base case that is **$14,048,334**, against $5,500,000 of contributed capital.

The GP receives nothing in tiers one or two until the LP has been paid alongside it on the same pari passu terms, and nothing in tier three until all contributed capital has been returned. Its 50% of the residual on 36.36% of the capital is the whole of its promote.

# Limited partner return across exit values.

FOR THE COMMON EQUITY INVESTOR · NOT FOR DISTRIBUTION

| GROSS EXIT VALUE | $21M | $24M | $27M | $30M | $33M | $36M |
|---|---|---|---|---|---|---|
| Implied cap rate on year 3 NOI | 12.72% | 11.13% | 9.89% | **8.90%** | 8.09% | 7.42% |
| Implied value per key | $362,069 | $413,793 | $465,517 | **$517,241** | $568,966 | $620,690 |
| Residual to the partnership | $6,704,334 | $9,152,334 | $11,600,334 | **$14,048,334** | $16,496,334 | $18,944,334 |
| LP share of partnership cash | 63.6% | 62.5% | 59.8% | **58.1%** | 56.9% | 56.0% |
| GP — total cash received | $2,437,940 | $3,435,511 | $4,659,511 | **$5,883,511** | $7,107,511 | $8,331,511 |
| GP — equity multiple | 1.22x | 1.72x | 2.33x | **2.94x** | 3.55x | 4.17x |
| LP — total cash received | $4,266,395 | $5,716,823 | $6,940,823 | **$8,164,823** | $9,388,823 | $10,612,823 |
| **LP — profit** | **$766,395** | **$2,216,823** | **$3,440,823** | **$4,664,823** | **$5,888,823** | **$7,112,823** |
| **Equity multiple** | **1.22x** | **1.63x** | **1.98x** | **2.33x** | **2.68x** | **3.03x** |
| **IRR** | **6.8%** | **17.8%** | **25.6%** | **32.6%** | **39.0%** | **44.7%** |

BASE-CASE LP MULTIPLE

**2.33x**

*$30M exit*

BASE-CASE LP IRR

**32.6%**

*3-year hold*

LP CAPITAL

**$3,500,000**

*63.64% of the partnership*

TOTAL LP CASH RECEIVED

**$8,164,823**

*Preferred, capital, residual*

Return is measured on the **$3,500,000 LP commitment**. Cash received is the 15.00% cumulative preferred return, return of capital in full and the LP half of the residual, in that order — the waterfall is on page 21. The GP columns are shown for alignment: the GP earns its 2.94x only after the LP has been paid its preferred return and its capital back, and it has $2,000,000 of its own cash in the same position. Exit values span $21M to $36M on a 4.0% cost of sale and a 3-year hold. Implied cap rates are on year-three net operating income.

# Sponsor alignment and the GP position.

SPONSOR CASH IN THE DEAL

## $2.00M

*Invested outside loan proceeds, on the LP's terms*

| | |
|---|---|
| GP co-investment | $2,000,000 |
| Share of partnership capital | 36.36% |
| Terms | Identical to the LP |
| Priority | Pari passu |

GP OWNERSHIP VS CASH

## 51% / 42%

*Owns a majority, receives less than it owns*

| | |
|---|---|
| GP ownership interest | 51% |
| GP share of capital | 36.36% |
| GP share of base-case cash | 41.9% |
| LP share of base-case cash | 58.1% |

LP PAID FIRST

## 15.00%

*Cumulative preferred return, then capital in full*

| | |
|---|---|
| Tier 1 | 15.00% preferred return |
| Tier 2 | Return of capital |
| Tier 3 | 50 / 50 residual |
| GP promote before tier 3 | None |

### SKIN IN THE GAME

$2,000,000 of sponsor cash is already invested in the asset, outside loan proceeds, and stays in through the hold on exactly the terms offered to the LP. It is 36.36% of partnership capital and is included in the $19,247,882 basis on page 24.

### RATIOS GIVEN UP

The GP holds 51% of the partnership but has accepted a waterfall that pays it 41.9% of partnership cash at the base case — less than its ownership — so the LP hurdles are met before any promote is earned.

### OPERATOR AND BRAND

The sponsor owns and operates the Wylder brand and manages the asset directly. The brand resume is on page 7, the business plan on page 8 and the renovation schedule on page 9.

# Total cost basis and the renovation program.

## ACQUISITION

| | |
|---|---|
| Acquisition and capital expenses | $10,714,782 |
| Land and house acquisition · 21441 Dogwood Cove | $1,100,000 |
| Sponsor cash equity outside loan proceeds | $2,000,000 |
| **Total acquisition** | **$13,814,782** |

## OTHER COSTS

| | |
|---|---|
| Interest and carry reserve | $1,200,000 |
| Working capital | $500,000 |
| Financing fees | $300,000 |
| Closing, legal and mortgage tax | $120,000 |
| Processing and third-party fees | $10,100 |
| **Total other costs** | **$2,130,100** |

| | |
|---|---|
| **Total cost basis** | **$19,247,882** |
| **Cost basis per key · 58 keys** | **$331,860** |

## RENOVATION PROGRAM

| | |
|---|---|
| Room renovation | $1,425,000 |
| Marina replacement and expansion | $250,000 |
| Replace three-bedroom house | $500,000 |
| Interior public space and FF&E | $50,000 |
| Convert boat bar | $50,000 |
| Exterior and interior improvements | $300,000 |
| Contingency | $258,000 |
| Professional fees | $170,000 |
| Dogwood Cove house renovation | $300,000 |
| **Total renovation program** | **$3,303,000** |

| COST BASIS / KEY | CAPITALIZATION / KEY | AS-COMPLETE / KEY | STABILIZED / KEY |
|---|---|---|---|
| **$331,860** | **$300,070** | **$448,276** | **$508,621** |
| *58 keys* | *Funded at close* | *April 2027* | *April 2029* |

## START AND COMPLETION DATES

| | |
|---|---|
| Rooms, house, FF&E and exterior work | Nov 1, 2026 → Apr 15, 2027 |
| Marina replacement and expansion | Nov 1, 2026 → Dec 15, 2026 |
| Event space upgrade | Jan 4, 2027 → Feb 2, 2027 |
| **Punch list to completion** | **Apr 1, 2027 → Apr 30, 2027** |

The basis includes **$2,000,000 of sponsor cash already invested** outside loan proceeds — the same capital that stands as the GP's pari passu interest in the partnership. The capitalization on page 18 funds $17,404,044 of this basis; a further $642,693 was invested in the hotel between 2021 and 2025, outside the plan at right.

The renovation program is funded at close from the capitalization. The schedule by trade is on page 9. Per-key figures are stated on 58 keys — the 57 hotel keys post-renovation plus the Dogwood Cove residence. The estimated values are for the hotel and exclude the adjacent parcel.

# Estimated value positioned against market evidence.

## PER-KEY POSITIONING

| MEASURE | AMOUNT | PER KEY |
|---|---|---|
| Total capitalization | $17.40M | $300,070 |
| Total cost basis | $19.25M | $331,860 |
| **Estimated as-is** | **$21.40M** | **$368,966** |
| Estimated upon completion | $26.00M | $448,276 |
| **Estimated upon stabilization** | **$29.50M** | **$508,621** |
| Waterfront sales · weighted avg | $18.05M | $396,000 |
| Waterfront sales · median | $15.00M | $397,000 |
| Recent resort trades · weighted avg | $20.28M | $463,000 |
| Recent resort trades · median | $10.75M | $332,000 |

Values are stated for underwriting purposes and are subject to completion of the renovation and stabilization of operations. They are for the hotel and **do not include the adjacent Dogwood Cove parcel**, whose value is set out on page 5. Per-key figures on 58 keys. Comparable per-key figures are on each property's own key count.

## THE POSITION

The as-is estimate of **$368,966 per key sits below the average of both comparable sets** — the East Coast waterfront sales and the eight resort trades closed since January 2025 — and between the median and the average of the more recent set.

The stabilized estimate of **$508,621 per key** sits below the two highest recent resort trades, at $741,000 and $893,000 per key, and is reached only after a $3,303,000 capital program, the adjacent-parcel acquisition and brand affiliation.

The total cost basis of **$331,860 per key remains below the as-is estimate**, and the capitalization attaches at $300,070 per key. Every value above is for the hotel alone; the adjacent parcel adds roughly $4.3 million of value against a $1.4 million cost, none of which is in these figures.

AS-IS VS WATERFRONT SALES AVG
**6.8% below**

CAPITALIZATION VS AS-IS ESTIMATE
**81.3%**

# Comparable hotel sales, resort and local.

### EAST COAST WATERFRONT RESORT SALES

| PROPERTY · MARKET | YEAR | KEYS | $/KEY |
|---|---|---|---|
| Haven Montauk, NY · renovated | 2023 | 26 | $577K |
| Sands Motel, Montauk, NY | 2024 | 43 | $541K |
| Brass Lantern Inn, Nantucket, MA | 2023 | 17 | $441K |
| Elizabeth Pointe, Fernandina Bch, FL | 2024 | 25 | $410K |
| Beachside Hotel, Nantucket, MA | 2021 | 94 | $404K |
| Sandpiper Gulf Resort, Ft Myers, FL | 2023 | 63 | $397K |
| Montreal Beach Resort, Cape May, NJ | 2021 | 70 | $329K |
| Creekside Inn, Plantation Key, FL | 2021 | 38 | $329K |
| **Weighted average · 11 sales** | **2022** | **46** | **$396K** |
| **Median · 11 sales** | **2022** | **38** | **$397K** |

Limited- and full-service waterfront hotels on the East Coast, 2021–2024. Not adjusted for date of sale, condition, location or scale.

### LOCAL EASTERN SHORE TRANSACTIONS

| PROPERTY · TOWN | YEAR | KEYS | $/KEY |
|---|---|---|---|
| Hambleton Inn, Saint Michaels | 2024 | 7 | $354K |
| Mariners Motel, Rock Hall | 2025 | 12 | $200K |
| Robert Morris Inn, Oxford | 2024 | 16 | $200K |
| Oaks Waterfront Inn, Royal Oak | 2022 | 15 | $190K |
| Great Oak Landing, Chestertown | 2020 | 28 | $169K |
| The Wildset, Saint Michaels | 2020 | 20 | $160K |
| Bartlett Pear Inn, Easton | 2021 | 8 | $125K |
| Kitty Knight House, Georgetown | 2021 | 12 | $117K |

Local transactions range from **7 to 28 keys** and comprise historic inns, bed-and-breakfasts and mid-century motels without food and beverage outlets, marina or event facilities. They establish small-inn pricing on the Eastern Shore rather than resort pricing, and are not comparable in scale, product or income base to a 58-key waterfront resort.

The subject carries two food and beverage outlets, 23 boat slips, a 3,722 SF event space and a saltwater pool — none present in the local set.

# Recent transaction evidence and local market activity.

## RECENT RESORT AND WATERFRONT HOTEL SALES

| PROPERTY · MARKET | DATE | KEYS | $/KEY |
|---|---|---|---|
| The Asticou Hotel · Northeast Harbor, ME | Mar 26 | 82 | $741K |
| Marginal Way House · Ogunquit, ME | Nov 25 | 30 | $333K |
| Beacon Suites Hotel · Somerville, MA | Nov 25 | 35 | $266K |
| Sandy Point Beach Resort · Alton Bay, NH | Oct 25 | 25 | $331K |
| White Barn Inn · Kennebunk, ME | Aug 25 | 28 | $893K |
| The Bayview Hotel · Bar Harbor, ME | May 25 | 26 | $285K |
| The Sparhawk Resort · Ogunquit, ME | Jan 25 | 89 | $337K |
| The Breakwater Inn & Spa · Kennebunkport, ME | Jan 25 | 35 | $329K |
| **Weighted average · eight sales** | – | **44** | **$463K** |
| **Median · eight sales** | – | – | **$332K** |

Independent resort and waterfront hotels transacted between January 2025 and March 2026, averaging 44 keys. Not adjusted for date of sale, condition, location or scale.

## EASTERN SHORE MARKET ACTIVITY

| PROPERTY · TOWN | STATUS | KEYS | $/KEY |
|---|---|---|---|
| Tilghman Island Inn · Tilghman | Under contract | 20 | $260K |
| Robert Morris Inn · Oxford | Closed, relisted | 16 | $200K |
| The Tidewater Inn · Easton | To market 2026 | 89 | – |

> The **Tilghman Island Inn** is the nearest transaction and is reported under contract at $5,200,000. It is a **20-key upper-midscale property configured as condominium units** on five acres, with 1,800 SF of meeting space and seven slips. It carries neither the key count, the two food and beverage outlets, the marina, the 3,722 SF of event space nor the income base of the subject, and it establishes small-inn pricing on the island rather than resort pricing.

## WHAT THE LOCAL SET DOES ESTABLISH

The **Tidewater Inn**, an 89-key full-service hotel in Easton, is expected to be brought to market in 2026 and reported 2025 occupancy of 48% at a $238 average rate on approximately $950,000 of net operating income. It is the only property in the local set operating at institutional scale, and it does so at a rate 43% below the subject's $415 stabilized projection and without waterfront, marina or resort positioning. The **Robert Morris Inn** in Oxford, 16 keys, traded at $200,000 per key in 2024 and is now closed and back on the market at a lower asking price. The local evidence brackets the subject rather than pricing it: small and partly distressed inns below, and a single larger property in a materially different product tier.

The eight resort transactions at left average 44 keys, closely matching the subject at 58, and support a per-key range of $266,000 to $893,000 with a median of $332,000. The estimated as-is value of $368,966 per key sits between that median and the average.

# Contact and next steps.

The financial model, historical operating statements, the purchase and sale agreement on the adjacent parcel and sponsor materials are available on request.

| LP COMMITMENT | PREFERRED RETURN | RESIDUAL SPLIT |
|---|---|---|
| $3,500,000 | 15.00% | 50 / 50 |



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